ionidea AI
ENGAGE EXCELLENCE

Income Tax Declarations and Proof Submission Guidelines – FY 2026–27

Once the declarations are made online, all employees who opt for the Old Tax Regime will be required to submit necessary proofs in the month of January-2027 of the relevant financial year. A separate mailer will be sent out in January2027, for document submission.

Given below are some guidelines for submitting documents to claim exemptions/deductions for FY 2026–27. This document is for informational purposes only and aims to avoid last-minute delays and rejections.

Please ensure that you declare only those Income Tax deductions/exemptions for which you intend to submit proof. Failure to submit proof in January/February will result in excess tax being deducted in March or April payroll.

Employees exiting the company during the financial year must submit all supporting documents before exit. Failure to do so will result in necessary taxes being deducted in the final settlement.

1. HRA (House Rent Allowance)

a. If rent paid exceeds ₹8,300/- per month, please provide original month-wise rent receipts, each containing the landlord's PAN number. A photocopy of the landlord's PAN card is also mandatory.
b. A valid rental agreement is mandatory if rent exceeds ₹3,000/- per month. The agreement should cover the entire financial year (April to March). Multiple agreements, if applicable, should be submitted. Ensure the landlord's name matches the PAN card.
c. Employees are advised to retain supporting documents like electricity bills, building society registration, etc., as these may be required by the Income Tax Department for verification.

2. Housing Loan

a. Submit the PAN card of the home loan lender/bank.
b. Submit the original provisional certificate from the lender. If downloaded online, ensure it is from your official login.
c. If claiming both HRA and housing loan benefits in the same city, submit a self-declaration stating that the house is under construction or unoccupied.
d. 100% exemption is allowed if the loan is in your name alone. For joint loans, submit a joint declaration stating the proportion claimed and that the co-applicant is not claiming or claiming a specific share.

3. Deductions Under Chapter VI-A

Eligible investments/expenditures include:
a. 5-Year Fixed Deposits
b. Children's Education – Only tuition fees are allowed (other fees, transport, books, etc. are not). Kindergarten fees may be allowed, subject to conditions.
c. NSC/NSS deposits
d. Post Office savings schemes
e. LIC Premiums – Only for self, spouse, and children
f. ELSS Mutual Funds
g. PPF (Public Provident Fund)
h. Sukanya Samriddhi Yojana
i. ULIPs
j. Pension Schemes
k. NPS (National Pension Scheme)

Medical Insurance (Section 80D):
- A) Claim up to ₹50,000 if insurance is taken for self, dependents, and parents (above 60)
  - ₹25,000 for self + dependents
  - ₹25,000 for parents
- B) Claim up to ₹75,000 if parents are aged between 60 and 79
  - ₹25,000 for self + dependents
  - ₹50,000 for parents

Note: Keep payment receipts and policy documents for audit purposes.

Disability and Specified Ailments (Sections 80DD & 80DDB):
- Contact the Finance team before claiming under this section.
- A valid medical certificate is mandatory and must be renewed as per Income Tax rules.

Education Loan (Section 80E):
- Only interest on the loan taken for self's higher education is eligible.
- Loans taken for dependents are not eligible.

4. Previous Employment Salary

If you joined during FY 2026–27, you must submit the income statement from your previous employer.
DISCLAIMER: The above guidelines are subject to change as per government notifications and the latest Income Tax rules.